Clause Risk Scoring Methodology

NORTHWIND SYSTEMS INTERNAL LEGAL POLICY
POLICY REF: GC-POL-2024-04
SUBJECT: STANDARD CONTRACT CLAUSE RISK SCORING METHODOLOGY
EFFECTIVE DATE: OCTOBER 1, 2024
OWNER: OFFICE OF THE GENERAL COUNSEL

1. PURPOSE AND SCOPE

1.1 This policy establishes the mandatory risk-scoring methodology for all commercial contracts, Master Services Agreements (MSAs), Order Forms, and Vendor Agreements processed by the Northwind Systems legal team.

1.2 Every incoming counterparty paper or modified Northwind template must be evaluated using the 0-100 risk scoring framework set forth herein prior to execution.

1.3 Associate Counsel Eleanor Vance and Senior Commercial Counsel Marcus Thorne are responsible for applying this methodology to assigned transactions.

2. THE 0-100 RISK SCORE BASELINE

2.1 All contracts enter the review pipeline at a baseline score of 100 points (representing zero risk/fully compliant Northwind standard terms).

2.2 Risk points are deducted from the baseline based on the presence of non-standard clauses, unfavorable risk allocations, and deviations from Northwind’s approved fallbacks, resulting in a final score between 0 and 100.

2.3 The lower the final score, the higher the risk profile of the contract.

3. CLAUSE FAMILY WEIGHTS

3.1 The 100-point total is distributed across eight distinct clause families based on Northwind’s enterprise risk profile. Each family has a maximum point deduction limit to prevent a single category from completely distorting the evaluation.

Item	Clause Family	Assigned Weight (% of Total Score)	Maximum Point Deduction
3.1.1	Limitation of Liability & Damages	25%	25 points
3.1.2	Indemnification	15%	15 points
3.1.3	Intellectual Property & Data Rights	15%	15 points
3.1.4	Term, Termination & Suspension	10%	10 points
3.1.5	Payment, Fees & Taxes	10%	10 points
3.1.6	Confidentiality & Data Security	10%	10 points
3.1.7	Warranties & Service Levels (SLA)	10%	10 points
3.1.8	General Provisions (Assignment, Governing Law, Venue)	5%	5 points
Total		100%	100 points

4. SPECIFIC DEVIATION DEDUCTIONS

When reviewing counterparty terms, counsel shall deduct points for specific deviations from Northwind’s playbook according to the following mandatory schedule:

4.1 Limitation of Liability (Max Deduction: 25 points) * 4.1.1 Uncapped Liability (General): Deduction of 25.0 points. (Applies if aggregate liability is unlimited or exceeds 2x Annual Contract Value [ACV]). * 4.1.2 Uncapped Liability (Data Breach/Security): Deduction of 20.0 points. * 4.1.3 Exclusion of Consequential Damages Removed: Deduction of 15.0 points.

4.2 Indemnification (Max Deduction: 15 points) * 4.2.1 Indemnity Without a Cap: Deduction of 15.0 points. (Applies to third-party IP infringement or general indemnity lacking a financial ceiling). * 4.2.2 Indemnity for Customer Data/Content Missing Exclusion: Deduction of 8.0 points.

4.3 Intellectual Property & Data Rights (Max Deduction: 15 points) * 4.3.1 Customer Acquires Ownership of Northwind Background IP/Platform: Deduction of 15.0 points. * 4.3.2 License Grant Exceeds "Internal Business Operations" Scope: Deduction of 10.0 points. * 4.3.3 Customer Ownership of Unnamed Custom Developments without IP Assignment Safeguards: Deduction of 7.0 points.

4.4 Term, Termination & Suspension (Max Deduction: 10 points) * 4.4.1 Unilateral Termination for Convenience (with refund of prepaid fees): Deduction of 7.0 points. * 4.4.2 Unilateral Termination for Convenience (without refund or with penalty): Deduction of 10.0 points. * 4.4.3 Cure Period Exceeds 60 Days or Missing: Deduction of 5.0 points.

4.5 Payment, Fees & Taxes (Max Deduction: 10 points) * 4.5.1 Payment Terms Exceed Net 60 Days: Deduction of 6.0 points. * 4.5.2 Most Favored Nation (MFN) Pricing Clause Included: Deduction of 10.0 points. * 4.5.3 Unrestricted Right to Withhold Disputed Invoices: Deduction of 4.0 points.

4.6 Confidentiality & Data Security (Max Deduction: 10 points) * 4.6.1 Confidentiality Survival Period Exceeds 5 Years or is Perpetual: Deduction of 5.0 points. * 4.6.2 Audit Rights Exceed Standard Annual SOC 2 Review (e.g., direct system access): Deduction of 10.0 points.

4.7 Warranties & Service Levels (Max Deduction: 10 points) * 4.7.1 Uptime SLA Guarantee Exceeds 99.9% with Credit Penalties >20%: Deduction of 8.0 points. * 4.7.2 Non-Infringement Warranty Exceeds Standard Pass-Through/IP Indemnity Scope: Deduction of 5.0 points.

4.8 General Provisions (Max Deduction: 5 points) * 4.8.1 Unrestricted Assignment (Allows assignment to direct competitors): Deduction of 5.0 points. * 4.8.2 Non-Standard Governing Law (Non-US or non-New York/California/Delaware without prior approval): Deduction of 3.0 points.

5. SCORE BANDS AND REQUIRED APPROVAL ROUTES

Based on the final calculated score, contracts are categorized into three mandatory risk bands governing the internal signature and escalation workflow:

5.1 Low-Risk Band (Score: 85 – 100) * Definition: Minor deviations or utilization of approved fallback clauses. * Required Approval Route: May be auto-approved via the automated contract management workflow or signed directly by Associate Counsel Eleanor Vance. No executive escalation required.

5.2 Medium-Risk Band (Score: 71 – 84) * Definition: Moderate commercial concessions that impact standard risk allocation but do not introduce structural enterprise exposure. * Required Approval Route: Requires joint sign-off from Senior Commercial Counsel Marcus Thorne and the Vice President of Sales. Cannot be auto-approved.

5.3 High-Risk Band (Score: 0 – 70) * Definition: Severe structural deviations, removal of core liability protections, or acceptance of disproportionate legal exposure. * Required Approval Route: Any score above 70 point deductions (resulting in a final score of 70 or below) requires General Counsel (Arthur Pendelton) sign-off and may never be auto-approved. Furthermore, scores below 50 require formal risk-acceptance sign-off from Chief Executive Officer Sarah Jenkins in addition to General Counsel approval.

6. COMPLIANCE AND AUDIT

6.1 All risk score calculation sheets must be archived in the legal repository alongside the executed agreement for a minimum of seven (7) years.

6.2 Internal audit reserves the right to review contract files quarterly to verify that point deductions were applied accurately in accordance with Section 4 of this policy.

APPROVED BY:

Arthur Pendelton
General Counsel, Northwind Systems
October 1, 2024